

TREE pitch deck

PITCH — TREE — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

No position today. LendingTree's damage is real but industry-shaped, not company-specific; the surviving bull case ("margins just stay where they are") isn't paid well enough for its risks. Re-open only on the specific prices or facts below.

What we believe

LendingTree runs online marketplaces that sell consumer leads to insurance carriers, mortgage lenders, and consumer lenders. The stock is at \$32.13, down 58.5% from its 52-week high of \$77.35 and only 7.9% above its 52-week low — market cap roughly \$451 million on 14.0 million shares (per the July 31 [10-Q](#); the evidence pack's 13.65M share count was a year stale and was corrected in court).

What we believe after both benches finished:

- 1. The profitability damage is real and confirmed.** Every segment's margin compressed in Q2 2026: Insurance from 27.1% to 23.9%, Home from 32.6% to 25.7%, Consumer from 51.1% to 45.8%. Roughly 4 percentage points of that is genuine deterioration, not just business-mix shift. Both benches reproduced this math independently from the earnings release.
- 2. But the damage is not "worst in the industry" — that leg of our original pitch was simply wrong.** We claimed rival EverQuote grew its marketing profit dollars +15% while LendingTree managed +4%. EverQuote actually grew them [+25%](#) — and LendingTree's own Insurance segment profit *also* grew +25%. Compared like-for-like, LendingTree is in line with its closest peer. Our +4% figure was the consolidated number, dragged down by the shrinking Home and Consumer segments.
- 3. The honest residual concern:** on each *new* dollar of Insurance revenue, LendingTree kept only about 16 cents of marketing profit last quarter, versus EverQuote's steady ~29 cents. Rising Google ad costs are eating the incremental economics. Management guides Q3 Insurance margins "similar to Q2" — i.e., no recovery assumed.
- 4. The company generates real cash.** Trailing-twelve-month free cash flow is about \$73.9 million — a 16.4% yield on the market cap. (Our original pitch said \$80M / 17.7%; the court trimmed it.) The \$400 million term loan doesn't mature until August 2030, so there is no near-term debt cliff — but it's priced at SOFR+4.50%, junk-level, and cash is \$110.8 million against \$386 million net debt.

What the market believes

At ~\$32, the market is pricing this as a damaged, levered, single-engine business: about 4.8x on the freshly-cut guidance, a 16%+ trailing free-cash-flow yield, and a stock that fell ~16% on the Q2 print.

Insurance is now 67% of revenue, and the market appears to treat that segment's boom (revenue +42% year-over-year) as a temporary insurance-carrier advertising binge that will fade, while Home and Consumer keep shrinking. The debt pricing says lenders, too, charge for the tail risk. In short: the market already believes most of the bear case we walked in with.

Why we might have edge

- **The reversion math is less scary than it looks.** The red (prosecution) bench argued that a carrier-spending downturn “kills 67% of revenue.” The blue (defense) bench showed that conflates revenue with profit: if Insurance revenue fell all the way back to last year's level *and* margins recovered to ~30% as competition for leads eased, segment profit goes from ~\$50M to ~\$44M — roughly a 12% hit, not a collapse. A 16% free-cash-flow yield can absorb that.
- **A possible free option nobody is pricing:** LendingTree joined a [mass arbitration by advertisers against Google](#) on July 17, citing \$2.8 billion spent with Google over a decade. Any award would be largely shielded from tax by carryforwards, per the CFO. The market values this at zero or as a negative signal.
- **Sentiment mechanics:** the stock sits 8% off its low after a capitulation-style earnings drop. If Q3 merely matches management's “margins similar to Q2” guide — flat margins on growing dollars — the stock is cheap on its own guidance.

Why it might be priced in

- **The core bull branch our pitch wanted — margin recovery — is dead by management's own words.** They guide flat, not better. What survives is only “things stay this bad but no worse,” and a 16% cash yield is arguably fair payment for that, not a bargain.
- **Concentration and structural risk are unbounded.** Two-thirds of revenue is one segment riding a carrier advertising cycle that industry press suggests is late-stage (Progressive's ad budget roughly tripled 2023→2024 — though this is blog-grade evidence, not verified statutory data). Meanwhile the arbitration filing is a signal the company itself may view its Google channel economics as broken — and if Google ad costs keep rising into a guide that assumes they don't, the “flat carry” case fails too.
- **We couldn't check crowding.** Broker data access was denied to both benches this session, so short interest and analyst coverage are unknown. We may be late to a trade everyone has already seen.
- Both benches converged: this is a damaged business fairly marked down, not a mispricing. Court-worthiness was scored ~4–5 out of 10.

What we checked ourselves

Claim	How checked	Found	Confirmed?
EverQuote grew marketing profit +15% vs	EverQuote's own Q2-26 press release	EverQuote +25%, and TREE's Insurance segment profit <i>also</i> +25%; our +4% was	REFUTED — our own pitch's error.

Claim	How checked	Found	Confirmed?
TREE +4% (our pitch's headline comparison)		mix-contaminated	Corrected residual: TREE's incremental Insurance economics (~16%) lag EverQuote's (~29%)
Segment margin compression (27.1→23.9 / 32.6→25.7 / 51.1→45.8; ~4pts ex-mix)	Both benches recomputed from the Q2 earnings release	All values reproduce	Yes
"A carrier-spending downturn kills 67% of revenue" (red bench's kill argument)	Blue bench arithmetic: revert Insurance revenue to Q2-25 level at recovered ~30% margin	Segment profit ~\$50M → ~\$44M, about -12%	Red bench overreached — conflated revenue exposure with profit impact; reduced from fatal to a sizing concern
Google arbitration = company admitting its channel is structurally broken (red bench framing)	Bloomberg reporting on the mass arbitration	It's a collective advertiser claim TREE joined, not a unilateral filing; potentially an unpriced asset	Partly overturned — signal is real but weaker than framed
~\$80M free cash flow / 17.7% yield (our pitch)	Quarterly cash-flow statements, trailing four quarters	\$73.9M / 16.4% at \$32.13 — direction intact, level overstated	Confirmed with haircut — our pitch's error
Share count / market cap	July 31 10-Q vs evidence pack	Pack's 13.65M count was a year stale; actual 14.03M shares → \$451M	Pack error, caught by red bench
No near-term debt wall	Term-loan filing summaries	\$400M matures Aug 2030, SOFR+4.50%, \$110.8M cash	Yes — slow-burn risk, not a cliff
Carrier ad cycle is at a peak	Industry press only	Plausible, unquantified	Not verified — needs statutory carrier data
Short interest / analyst coverage / seasonality	Broker tools	Access denied to both benches	Unchecked — open gap
Next earnings date Oct 29, 2026	Data-vendor derived; searched for a company PR	No company confirmation found	Unconfirmed

Also for the record: the automated detector dispatch fired an entire nursing-home screening block on LendingTree because of a bad industry-code join (mortgage banker ≠ healthcare operator). None fired substantively, but the dispatch index needs fixing.

PROPOSED ENTRY BANDS

The court's answer is no entry today. The surviving case is "fairly paid to carry a damaged business," and it fails our bar because the tails aren't bounded: 67% single-segment concentration, possible structural ad-cost deterioration, and junk-priced leverage. Reopen bands, built from the benches' own numbers (\$73.9M trailing free cash flow, 14.03M shares → \$5.27/share):

- **Price reopen: below ~\$26.30** — that's a 20% trailing free-cash-flow yield, enough overpayment to carry the unbounded tails the court identified. Below \$29.77 (a new 52-week low) is a *review* trigger, not a buy.
- **Fact reopen (any one, at any price):**
 - Q3 print (expected ~Oct 29, unconfirmed) shows the Insurance margin **holding ~24%** despite rising Google costs — validates the “flat carry” bull the red bench wrongly killed;
 - **Statutory carrier ad-spend data** (Progressive/Allstate, from S&P-grade filings, not blogs) showing budgets still rising — extends the cycle;
 - EverQuote's Q3 shows **parallel margin compression** — would reclassify this as industry-wide cost inflation and reshape the whole thesis.
- **Sizing if reopened:** the court did not authorize a size; any entry goes back through adjudication with a fresh pack. No orders should rest into the Q3 print until the date is confirmed by a company press release.
- **Exit/trim bands:** none — no position exists.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 26.3 (deck-provisional: 20% trailing FCF yield (\$73.9M TTM FCF / 14.03M shares) — reopen court)
- filing watch: 8-K, 10-Q until 2027-02-06 (deck-provisional: Q3 results, earnings-date confirmation, Google-arbitration developments, debt amendments)
- dated pack TREE|2026-10-29: TREE: Q3-2026 earnings — vendor-derived date, no company PR confirms it (date confirmed=False)

What remains unverified

- **The earnings date (Oct 29) is vendor-derived, not company-confirmed.** No press release names it.
- **Where the carrier advertising cycle actually stands** — our only evidence is industry blog material; the statutory filings that would settle it were not pulled.
- **Short interest and analyst coverage** — broker access was denied to both benches; we don't know if this trade is crowded or abandoned.
- **How much further Insurance margins fall if Google costs keep rising** — management's guide assumes they don't; neither bench stress-tested the downside branch.
- **Bank-partner appetite behind the Consumer segment's decline** — the FDIC call-report check was planned but couldn't run this session.
- **The value, if any, of the Google arbitration claim** — treated qualitatively by both benches; no damages estimate exists.

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